# Reasons for Decision

Name of Residential Complex: **585 Corydon Ave**
Address of Residential Complex: 585 Corydon Ave, **Winnipeg MB**

Every year the government sets a rent increase guideline. The guideline for rent increases in **2018** is 1.3%.

Under subsection 123(2) of the Residential Tenancies Act (the Act), a landlord can submit an application to the Residential Tenancies Branch (RTB) to increase the rent above the guideline amount if they feel this amount will not cover increases in operating expenses and the cost of any capital improvements. The landlord in this case applied for a rent increase of **9.89%**.

Subsection 125(3) of the Act requires the RTB to consider the following in accordance with the Residential Rent Regulation before issuing an order setting the maximum rent increase that may be charged for each unit:

- the rents charged for the rental units in the residential complex immediately before the proposed increase is intended to come into effect;
- the increase in actual expenses determined in accordance with the regulations;
- any change in the services and facilities, privileges, accommodations or things that the landlord provides for the tenants whether or not a separate charge is made for them;
- any ground of objection made by a tenant;
- any finding by the director that the landlord is in contravention of the obligation to repair. In such cases, tenants are sent repair forms to complete; and
- the submissions and representations made by the landlord and tenants.

**Operating Expenses:**

The landlord reported an increase in operating expenses of $8,684.09. The landlord provided invoices and ledgers in support of their reported operating expenses. In accordance with subsection 125(3) of the Act, the Branch made the following adjustments where necessary to the operating expenses reported by the landlord:

- Transferred capital expenses reported as operating expenses to the Capital category;
- Reduced expenses that were not unit specific or were related to the common areas to account for the exempt units' portion;
- Excluded expenses exclusive to an exempt unit; and
- Ensured the professional fees claimed were allowable under the Residential Rent Regulation and the Branch's Policy Guidebook.

Adjustments to the operating expenses decreased the amount reported by the landlord by $2,284.50. The following table summarizes the changes made by the RTB and the affect it had on the allowable increase in Operating Expenses:

| Operating Expenses | LL's Current | RTB Current | Adjustment | LL's Previous | RTB Previous | Adjustment |
|---|---|---|---|---|---|---|
| Professional Fees | $549.88 | $316.54 | -$233.34 | $0.00 | $233.34 | $233.34 |
| General R&M | $5,907.15 | $5,907.15 | $0.00 | $5,512.28 | $4,914.98 | -$597.30 |
| Painting | $2,379.17 | $1,586.12 | -$793.05 | $0.00 | $0.00 | $0.00 |
| Plumbing | $3,930.33 | $3,062.08 | -$868.25 | $1,190.03 | $1,190.03 | $0.00 |
| Electrical | $889.28 | $513.90 | -$375.38 | $438.63 | $177.18 | -$261.45 |
| Exempt Unit Reduction | $0.00 | -$4,692.36 | -$4,692.36 | $0.00 | -$4,052.47 | -$4,052.47 |
| Total adjustment - Current | | | -$6,962.38 | - Previous | | -$4,677.88 |
| Difference due to rounding | | | | | | $0.00 |
| Total effect on allowable increase | | | | | | -$2,284.50 |

**Capital Expenses:**

The landlord reported a total of $5,457.77 in capital expenses and calculated the allowable portion to be $750.90. The landlord provided invoices in support of their reported capital expenses. In accordance with subsection 125(3) of the Act, the Branch made the following adjustments where necessary to the capital expenses reported by the landlord:

- Transferred capital expenses reported as operating expenses to the Capital category; and
- Excluded expenses exclusive to exempt units and reduced expenses that were not unit specific or were related to the common areas to account for the exempt units' portion.

The adjustments made to the landlord's application increased the allowable portion of a capital expenses by $119.11. The following table shows the adjustments made by the RTB and the affect they had on the allowable portion of capital expenses.

| Capital Expense | Claimed Expense | Claimed Rate | Claimed Allowable | RTB Expense | RTB Rate | RTB Allowable | Change in Allowable |
|---|---|---|---|---|---|---|---|
| Intercom | $1,648.21 | 1/6 | $274.70 | $1,498.37 | 1/6 | $249.73 | -$24.97 |
| Light Fixtures | $3,809.56 | 1/8 | $476.20 | $3,463.24 | 1/8 | $432.91 | -$43.29 |
| Capital Transfer @ 1/6 | $0.00 | 1/6 | $0.00 | $868.25 | 1/6 | $144.71 | $144.71 |
| Capital Transfer @ 1/8 | $0.00 | 1/8 | $0.00 | $341.26 | 1/8 | $42.66 | $42.66 |
| Difference due to rounding | | | | | | | $0.01 |
| Total Change in Allowable Portion of Capital Expense | | | | | | | $119.11 |

**conomic Adjustment Amount:**

As part of their application, a landlord can claim an Economic Adjustment Amount, which is equal to the revenue earned in the current reporting period multiplied by the Economic Adjustment Factor. Considering inflation, The Government has set the Economic Adjustment Factor for **2018** at 0.8%. This multiplied by the non-exempt revenue earned in the current reporting period ($97,578.00) resulted in an allowable Economic Adjustment Amount of $780.62.

**Change in Service:**

There were no changes in services or facilities

**Total Allowable Increase:**

| | Landlord's Application $ | Adjustment $ | Allowable Amount (increase) |
|---|---|---|---|
| 1. Operating expenses | $8,684.09 | -$2,284.50 | $6,399.59 |
| 2. Capital expenses | $750.90 | $119.11 | $870.01 |
| 3. Economic Adjustment | $780.62 | $0.00 | $780.62 |
| 4. Change in Service | $0.00 | $0.00 | $0.00 |
| Totals | $10,215.61 | -$2,165.39 | $8,050.22 |

**Percentage Increase:**

**The landlord was able to justify an increase of 8.70%, which was calculated as follows:**

$$\left.\frac{\$8{,}050.22\text{ (total increase)}}{\$92{,}280.00\text{ (total rent)}}\right\} \times 100 = \quad 8.7\%\text{ rounded to one decimal point}$$

**The landlord is limited to either the amount they applied for, the amount approved by the branch, or the amount they gave the tenant a Notice of Rent Increase for; whichever is less.**

**Additional Comments:**

If the attached order is not appealed by the tenant or by the landlord by the date shown on the bottom of the order, then this order is final and binding.

If the tenant paid rent in an amount greater than what is shown on the attached order and the order is not appealed, the tenant should contact the landlord to find out how the landlord wants the tenant to deal with the overpayment. The landlord may advise the tenant to off-set the overpayment from the next rent payment or the landlord may give the tenant a cheque for the amount of the overpayment.

If the order is appealed, the tenant must continue to pay the rent in the amount shown on the Notice of Rent Increase given by the landlord until the Residential Tenancies Commission issues their decision.

Date: 5 September 2018

L. Bellingham, Residential Tenancies Officer